

TerraClean Industrial Waste Solutions LLC

Confidential Acquisition Teaser & Forensic Due Diligence Assessment

Seller Asking Price:	\$22,000,000	Claimed Revenue:	\$22,000,000 (FABRICATED)
Verified Bank Cash:	\$11,200,000 (\$10.8M Deficit)	True Operating Income:	-\$350,000 (INSOLVENT)
Undisclosed Liabilities:	\$4,200,000 EPA Superfund Lien	Delinquent AR (>180 Days):	\$4,800,000 (71.9% Bad Debt)

1. FATAL DEAL-BREAKER: Immediate Walk-Away Recommendation

TerraClean Industrial Waste Solutions advertises itself as a leading hazardous waste treatment, contaminated soil remediation, and industrial chemical disposal contractor.

Forensic audit across banking records, IRS Form 1120 tax filings, EPA regulatory docket, and employee whistleblower disclosures uncovers catastrophic structural fraud, phantom round-trip revenue transfers, and severe environmental contamination liabilities.

FATAL DEAL-BREAKER (WALK AWAY IMMEDIATELY):

- Phantom Revenue (\$10.8M Deficit):** Seller claims \$22.0M revenue vs verified bank revenue of only \$11.20M (49.1% inflation).
- EPA Superfund Consent Decree:** Active \$4.2M federal CERCLA cleanup lien and 60-day operating permit cure warning.
- 74% Uncollectible AR:** \$4.8M of accounts receivable is >180 days delinquent with bankrupt contractors.

2. Forensic Discrepancy Matrix

Financial Metric	CIM Claimed	Verified Tax / Bank	Variance	Forensic Severity
Gross Revenue	\$22,000,000	\$11,200,000	-\$10,800,000	CRITICAL FRAUD (49.1%)
Gross Profit	\$12,100,000	\$3,360,000	-\$8,740,000	True Margin 30% vs 55%
Operating EBITDA	\$4,500,000	-\$350,000	-\$4,850,000	Operational Insolvency
Aged AR (>180 Days)	\$0 Reported	\$4,800,000	+\$4,800,000	71.9% Bad Debt Loss
Environmental Liabilities	Zero Disclosed	\$4,200,000	+\$4,200,000	Federal CERCLA Lien